FINALTERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship (Session - 3)

Marks: 8

Question No: 1 (Marks: 1) - Please choose one
An ice cream producing company merges with a cotton spinning company this merger is an example of:

► **Diversified activity merger**
► Product extension merger
► Market extension merger
► Vertical merger

Ref: **Diversified activity merger**
Combination of at least two totally unrelated firms **(Handouts Page No. 32)**
Question No: 2 (Marks: 1) - Please choose one
A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:
► Horizontal merger
► **Product extension merger**
► Market extension merger
► Vertical merger

Ref: A product extension merger occurs when acquiring and acquired companies have related production but do not have directly competing products. (Handouts Page No. 35)
Question No: 3 (Marks: 1) - Please choose one
Combination of at least two firms at different market levels is called:
► Joint venture
► Synergy
► Horizontal merger
► **Vertical merger**

Ref: Vertical merger
Combination of at least two firms at different market levels (Handouts page no. 36)
Question No: 4 (Marks: 1) - Please choose one
A patent is granted for a specified amount of time because of the assumption:
► That during this time firm will cover its development costs
► That firm will earn a sufficient profit during this period
► **To limit the monopoly of the firm**
► That it will stimulate idea and development of a better product

Ref: Since a patent grants the right to exclude others from practicing the invention, it would seem to give the owner a monopoly in the economic sense

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http://www.wordiq.com/definition/Patent

Question No: 5 (Marks: 1) - Please choose one
Which of the following is TRUE for Disclosure Document?
► It gives recognition that he was the inventor of the idea in past
► **It gives recognition that he is the first the inventor of the idea**
► It gives recognition that he will be the invent an idea in future
► It gives recognition that he wants to copy the idea

Ref: This office also administers the Disclosure Document Program, in which the inventor files disclosure of the invention, giving recognition that he or she was the first to develop the idea. (Handouts Page No.47)

Question No: 6 (Marks: 1) - Please choose one
Which of the following is the most important factor for the entrepreneur, while starting a new venture, to make an assessment of business?
► Profit
► **Risk**
► Market
► Competitors

Assessment of Risk (page 58)
It is important that the entrepreneur make an assessment of risk in the following manner: The entrepreneur should indicate the potential risks to the new venture. Next should be a discussion of what might happen if these risks become reality. Finally the entrepreneur should discuss the strategy to prevent, minimize, or respond to these risks. The entrepreneur should also provide alternative strategies should these risk factors occur.

Question No: 7 (Marks: 1) - Please choose one
Which of the following plan helps an organization to provide the lines of authority?
► Financial
► Business
► **Organizational**
► Marketing

Ref. Page No.58 : It is helpful to provide an organization chart indicating the line of authority. This chart shows the investor who controls the organization and how members interact

Question No: 8 (Marks: 1) - Please choose one
The business plan is an integration of functional plans such as:
► **Marketing, finance, manufacturing, and human resources**
► Marketing, Management, human resources, and operations management
► Advertisement, Management, Marketing, and Finance
► Manufacturing, Human resources, Management, and Human Resource

http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA187&lpg=PA187&dq=The+business+plan+is+an+integration+of+functional+plans+such+as:&source=bl&ots=rCPxFrW4vY&sig=4LqcPHdYigoWxF7KVedvV-JUHhY&hl=en&ei=YAwPTdHoMpSs8QP47IWEBw&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCYQ6AEwAg#v=onepage&q=The%20business%20plan%20is%20an%20integration%20of%20functional%20plans%20such%20as%3A&f=false

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Question No: 9 (Marks: 1) - Please choose one
Which of the following type of commitment is necessary from the for the satisfaction of Investors?
► Seasonal
► **Full time**
► Conditional
► Satisfactory
Rationale: **Investors will not be positive about a venture that does not have full-time commitment (page 60)**
Question No: 10 (Marks: 1) - Please choose one
On the part of entrepreneur which of the following has/ have a great concern to the Investors?
► Commitment
► Experience
► Knowledge
► **All of the given options**

Question No: 11 (Marks: 1) - Please choose one
Which of the following is **NOT** a characteristic of marketing plan?
► It should provide a strategy to accomplish the company's mission
► It should provide for the use of existing resources
► It should be simple and short
► **It should be rigid**

CHARACT E RIST ICS OF A MARK ETING PLA N (page 64)

An effective marketing plan should:

1. Provide a strategy to accomplish the company mission.

2. Be based on facts and valid assumptions.

3. Provide for the use of existing resources.

4. Describe an organization to implement the plan.

5. Provide for continuity.

6. Be simple and short.

7. Be flexible.

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8. Specify performance criteria that can be monitored and controlled.

Question No: 12 (Marks: 1) - Please choose one
Which of the following allows the entrepreneur to establish controls on the process during the implementation of the marketing plan?
► **Sales data**
► Research data
► Consumer data
► Technical data
http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter8/web_quizzes.html

Question No: 13 (Marks: 1) - Please choose one
Advertising and promotion for the business-to-business market involve all of the following **EXCEPT:**
► **Indirect sales**
► Trade magazine advertising
► Direct sales
► Trade shows
http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter8/web_quizzes.html

Question No: 14 (Marks: 1) - Please choose one
In which of the following the death of entrepreneur results in the termination of venture?
► **Proprietorship**
► Limited company
► Limited partnership
► Corporation

In a sole proprietorship, the death of the owner results in the termination of the business.(page 69)
Question No: 15 (Marks: 1) - Please choose one
Which of the following shows the characteristic of the venture that has experience in related business?
► **Strength**
► Weakness
► Opportunity
► Threat
Question No: 16 (Marks: 1) - Please choose one
In which of the following, banks are usually reluctant to give loan?
► **Sole Proprietor**
► Public Limited Companies
► Partnership firm
► Private Limited Companies
Question No: 17 (Marks: 1) - Please choose one
In USA Public Limited Companies may have _____ Director/s
► **1**

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► 2
► 3
► 4
http://en.wikipedia.org/wiki/Public_limited_company

Question No: 18 (Marks: 1) - Please choose one
Which of the following represents the shares in borrowing of Large Enterprises in Pakistan?
► 68%
► 65%
► 66%
► 67%

Question No: 19 (Marks: 1) - Please choose one
Which of the following is the most sensitive plan in the business plan?
► Financial Plan
► **Marketing Plan**
► Production Plan
► Operational Plan

A marketing plan is a written document that details the necessary actions to achieve one or more marketing objectives. It can be for a product or service, a brand, or a product line. Marketing plans cover between one and five years. A marketing plan may be part of an overall business plan. Solid marketing strategy is the foundation of a well-written marketing plan. While a marketing plan contains a list of actions, a marketing plan without a sound strategic foundation is of little use.
http://en.wikipedia.org/wiki/Marketing_plan

Question No: 20 (Marks: 1) - Please choose one
Which one of the following provides a guideline in determining hiring procedures?
► Job description
► Job specification
► **Job analysis**
► Job evaluation
Page No. 74 : **The** job analysis **serves as a guide in determining hiring procedures and** job descriptions **and specifications. As the size of the venture changes, the process becomes more complex**.

Question No: 21 (Marks: 1) - Please choose one
Which of the following distributes profits to owners through dividends?
► Limited Partnership
► General Partnership
► **Corporation**

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► Sole Proprietor

Question No: 22 (Marks: 1) - Please choose one

Which of the following helps to prevent lack of cash?

► **Financial plan**

► Cash flow

► Business plan

► Personal plan

http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA138&dq=Which+one+of+the+following+is+a+method+for+obtaining+new+ideas+and+solutions+by+focusing+on+problems?&hl=en&ei=uAzwTLCMAYemcIHtqasK&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCQQ6AEwAA#v=snippet&q=prevent%20lack%20of%20cash&f=false

The financial plan provides the short-term basis for budgeting and helps prevent a common problem-lack of cash. (page 75)

Question No: 23 (Marks: 1) - Please choose one

Which one of the following an entrepreneur must develop while preparing a pro forma of sales budget?

► Cash flow statement

► Balance sheet

► **Income statement**

► Statement of retained earnings

(reference page 75)

Question No: 24 (Marks: 1) - Please choose one

Which of the following statement provides projections of all operating expenses for each month of the first year?

► The pro forma balance sheet

► **The pro forma income statement**

► The pro forma cash flow statement

► The actual balance sheet

(reference page 75)

Question No: 25 (Marks: 1) - Please choose one

What is the primary concern of entrepreneurs, who trade equity for their growing venture?

► Control

► Valuation

► Investor capabilities

► **Capitalization**

Question No: 26 (Marks: 1) - Please choose one

The overall coordinating party in an agreement is:

► Limited partner

► Major partner

► Minor partner

► **General partner**

Question No: 27 (Marks: 1) - Please choose one

Which of the following is a formalized method for obtaining funds from private investors?

► Private placement

► **Private offering**

► Regulation D

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► Bootstrap financing
http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA336&lpg=PA336&dq=formalized+method+for+obtaining+funds+from+private+investors&source=bl&ots=rCOwDq2_yY&sig=7xKrUtEizKE_bs3A69ORw6gjxzg&hl=en&ei=VRxkTKXKN4mevQO5mLieCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CAsQ6AEwAQ#v=onepage&q=%22formalized%20method%20for%20obtaining%20funds%20from%20private%20investors%22&f=false

Question No: 28 (Marks: 1) - Please choose one
When did the Sindh Small Industries Corporation launch its credit scheme?
► 1972-73
► 1978-79
► 1988-89
► 1992-93
Page no. 91: The SSIC also launched a credit scheme in 88,/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates.

Question No: 29 (Marks: 1) - Please choose one
Who is usually the best role model for the employees?
► Line managers
► Competitors
► Trainer
► Entrepreneur
The entrepreneur will usually be a role model for any other employees.(page 96)

Question No: 30 (Marks: 1) - Please choose one
What is the percentage of Pakistani entrepreneurs that have college education?
► 30%
► 10%
► 60%
► 45%
Educational Level
"Differing from industry to industry 60% have school education and 30% have college or better education only 10% have professional or graduation level".

Question No: 31 (Marks: 1) - Please choose one
Major contribution of export for Pakistan comes from:
► Leather goods
► Surgical instruments
► Sports goods
► All of the given options
http://www.google.com.pk/search?q=Major+contribution+of+export+for+Pakistan+comes+from:+%E2%96%BA+Leather+goods+%E2%96%BA+Surgical+instruments+%E2%96%BA+Sports+goods&hl=en&client=firefox-a&hs=alQ&rls=org.mozilla:en-US:official&channel=s&prmd=ivns&psj=1&ei=76IPTdr1G5a8jAex-OXFDg&start=10&sa=N&cad=h

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Question No: 32 (Marks: 1) - Please choose one
In most cases, the venture capitalist:
► Seeks control of the company
► Never expects a seat on the board of directors
► **Expects the management team to run the daily operations**
► Prefers not to interfere in planning and expertise areas
http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter12/web_quizzes.html

Question No: 33 (Marks: 1) - Please choose one
Which of the following institute started the LMM financing scheme?
► PSIC
► **SSIC**
► SIDB
► IDBP
Ref. Page No.91:
The SSIC also launched a credit scheme in 88,/89. The rate of markup was 7% for industrial estates and 11% for factories outside the industrial estates. The scheme was discontinued in 1993 due to shortage of funds although SSIC has created already 526 jobs and disbursed 20.6 million rupees. In October 1992, a self-employment scheme was started for locally manufactured machinery (LMM).
Question No: 34 (Marks: 1) - Please choose one
The decision to start a new business is taken when one perceives that forming a new business is:
► **Possible**
► Undecisive
► Inaccurate
► Dependable

http://books.google.com.pk/books?id=_1M6QcP9LiUC&pg=PA56&lpg=PA56&dq=The+decision+to+start+a+new+business+is+taken+when+one+perceives+that+forming+a+new+business+is&source=bl&ots=niAiFlEjAB&sig=hg435lh9KNUju8FfIKE2lmMdlMY&hl=en&ei=v6UPTa5i1M2MB9mn9cUO&sa=X&oi=book_result&ct=result&resnum=10&ved=0CFwQ6AEwCQ#v=onepage&q=decision%20to%20start%20a%20new%20business%20&f=false

The decision to start a new company occurs when an individual perceives that forming a new enterprise is both desirable and possible.(page 7 and 5)

Question No: 35 (Marks: 1) - Please choose one
Which one of the following is the first step in the entrepreneurial process?
► **Deciding to become an entrepreneur**
► Growing the entrepreneurial firm
► Moving from an idea to an entrepreneurial firm
► Developing successful business ideas
http://wps.prenhall.com/bp_barringer_entrep_1/29/7475/1913810.cw/index.html
Question No: 36 (Marks: 1) - Please choose one
Which of the following is a second step in the entrepreneurial process?

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► **Developing successful business ideas**
► Deciding to become an entrepreneur
► Growing the entrepreneurial firm
► Moving from an idea to an entrepreneurial firm

http://wps.prenhall.com/bp_barringer_entrep_1/29/7475/1913810.cw/index.html

Ref. Page No.13 : A good **business plan** must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

Question No: 37 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

► Periodic intervals
► **Total amount needed**
► For certain tasks
► For long time

Ref. Page No.15 : **Ref: In the administrative domain, the commitment of resources is for the total amount needed**

Question No: 38 (Marks: 1) - Please choose one

Entrepreneurial endeavors consist of all of the following key elements **Except:**

► New business venturing
► **Increasing productivity**
► Innovativeness
► Proactiveness

(page 16) Entrepreneurial endeavors consist of four key elements.

1. **New business venturing refers to the creation of new business within an existing organization.**
2. **Organizational innovativeness refers to product and service innovation with an emphasis on development and innovation in technology.**
3. **Self-renewal reflects the transformation of organizations through the renewal of the key ideas on which they are built.**
4. **Proactiveness includes initiative and risk taking, as well as competitive aggressiveness**

Question No: 39 (Marks: 1) - Please choose one

In terms of chronological age, most entrepreneurs initiate their entrepreneurial carrier between ages of:

► 15 and 22
► **22 and 45**
► 45 and 57
► 57 and 63

Ref: In chronological age, most entrepreneurs start their careers between ages 22 and 55
(Handouts page No. 24)

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Question No: 40 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

► **Difference of domestic and international business**

► Domestic business

► International business

► None of the given options

Ref: The successful entrepreneur will be someone who understands how international business differs from domestic business and is able to act accordingly. (Handouts Page 29

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